

ANALYSIS

In 1994, just 1.7% of junk bonds defaulted. This was the lowest default rate on low-grade corporate debt in fourteen years of data and the environment that the wave ② rally (see Figure 15-4) was discounting. Naturally, that is when prices stopped rising. Since then, they have slipped slightly lower. Let's see if there is enough evidence for a reliable market analysis.

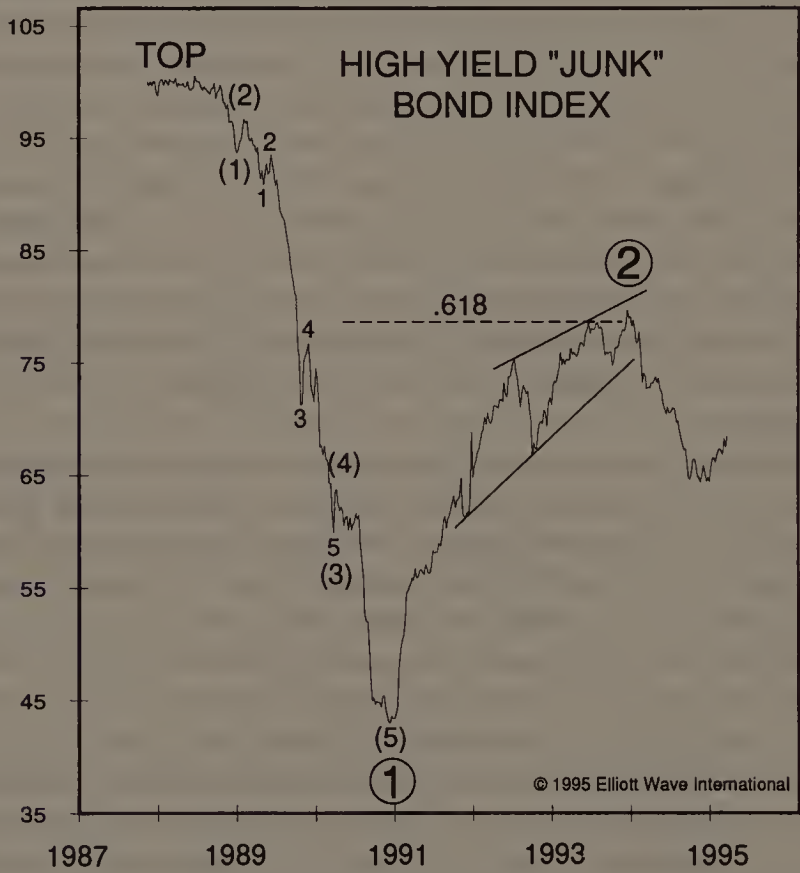


Figure 15-4

Investor Psychology

Today there is an entrenched determination by fund managers, regulators, brokers, analysts and the public that, despite occasional risks in a single issue here and there, junk bonds in general are a superb place to have your money. Despite slipping prices in 1994 and only a partial recovery since, investors have continued buying heavily for two reasons. First, the wave ② rally in *high-grade* bonds (see Chapter 16) has kept buyers' confidence high and instilled the belief that interest rates will decline overall. Second,